

Annual planning cycle and responsibilities

The annual planning calendar begins in September when the Planning and Performance Office issues assumptions, milestones, and standard guidance to every business unit. The office owns the timetable and coordinates Finance, Operations, People, and Sustainability inputs. The internal regulatory procedure assigns responsibilities for defining, consolidating, approving, and monitoring both planning outputs.

This Planning and Performance Office is the dedicated central function responsible for both the four-year strategic plan and the annual budget. Pre-established timelines throughout the year for the four-year strategic plan cover assumptions, proposals, challenge, consolidation, and approval. Pre-established timelines throughout the year for the annual budget cover forecasting, resource challenge, approval, and monitoring.

The four-year strategic plan is formalized in a dedicated document, and the annual budget is formalized in a dedicated document. In the plan, the strategic rationale and underlying assumptions are formally documented.

The Chief Executive Officer sets the priorities and objectives before business units and subsidiaries prepare bottom-up business proposals. The central office challenges and consolidates their resources, milestones, benefits, and dependencies.

The Executive Committee reviews the consolidated plan in November. The final plan and annual budget are submitted for Board approval in December, and the approval is recorded in the meeting minutes.

Objectives and ownership

The approved plan translates the group direction into measurable objectives. Objectives are defined annually as part of the budget process. The plan includes quantitative and qualitative objectives, while most objectives use a baseline, target value, delivery date, and measurable performance indicators.

Business-unit plans use the same structure so that local commitments can be traced to group priorities. Finance confirms affordability and the Planning and Performance Office checks that targets are specific and measurable before consolidation. Budget objectives are aligned with the strategic plan approved by the Board.

Annual objectives are formally approved and monitored by the Executive Committee. Approved objectives and named executive ownership are communicated in January. Any proposed target change states its reason, impact, revised milestone, and authority.

Performance and variance management

Objective owners update actual results and milestone status each month. The Planning and Performance Office consolidates these updates and performs a quarterly variance review against the approved targets and budget.

A material variance requires a written explanation of the cause, expected impact, and recovery date. The Executive Committee reviews significant exceptions and agrees corrective actions with a named owner and due date.

Open corrective actions remain on the performance log until evidence of completion is accepted. Repeated slippage is escalated to the accountable executive for a revised recovery decision.

Year-end assessment and planning feedback

At year end, the Planning and Performance Office compares final results with the approved objectives. The assessment identifies completed initiatives, missed targets, unresolved actions, and assumptions that no longer remain valid.

Objective owners provide supporting explanations and lessons learned. The Executive Committee agrees which unfinished actions continue, which are closed, and which priorities should be reconsidered.

The resulting lessons are included in the assumptions for the next annual planning calendar. This creates a documented link between performance results, corrective decisions, and the following planning cycle.